

Chapter Review

1-6j Problems: Series B

PR 1-1B

Transactions

Obj. 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation.

Amy Austin established an insurance agency on March 1 of the current year and completed the following transactions during March:

- a. Opened a business bank account with a deposit of \$50,000 in exchange for common stock.
- b. Purchased supplies on account, \$4,000.
- c. Paid creditors on account, \$2,300.
- d. Received cash from fees earned on insurance commissions, \$13,800.
- e. Paid rent on office and equipment for the month, \$5,000.
- f. Paid automobile expenses for month, \$1,150, and miscellaneous expenses, \$300.
- g. Paid office salaries, \$2,500.
- h. Determined that the cost of supplies on hand was \$2,700; therefore, the cost of supplies used was \$1,300.
- i. Billed insurance companies for sales commissions earned, \$12,500.
- j. Paid dividends, \$3,900.

Instructions

1. Indicate the effect of each transaction and the balances after each

transaction, using the following tabular headings:

2. Briefly explain why issuing common stock and revenues increased stockholders' equity, while dividends and expenses decreased stockholders' equity.
3. Determine the net income for March.
4. How much did March's transactions increase or decrease stockholders' equity?

PR 1-2B

Financial Statements

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

The assets and liabilities of Wilderness Travel Service on April 30, 20Y7, and its revenue and expenses for the year are as follows:

Accounts payable	\$ 25,000	Rent expense	\$ 75,000
Accounts receivable	210,000	Supplies	9,000
Cash	156,000	Supplies expense	12,000
Common stock	35,000	Taxes expense	10,000
Fees earned	875,000	Utilities expense	38,000
Miscellaneous expense	15,000	Wages expense	525,000

Common stock was \$25,000 and retained earnings was \$155,000 as of May 1, 20Y6. During the year, additional common stock of \$10,000 was issued for cash, and dividends of \$40,000 were paid.

Instructions

1. Prepare an income statement for the year ended April 30, 20Y7.
2. Prepare a statement of stockholders' equity for the year ended April 30, 20Y7.
3. Prepare a balance sheet as of April 30, 20Y7.
4. What item appears on both the income statement and statement of stockholders' equity?

PR 1-3B

Financial Statements

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

Jose Loder established Bronco Consulting on August 1, 20Y1. The effect of each transaction and the balances after each transaction for August follow:

Instructions

1. Prepare an income statement for the month ended August 31, 20Y1.
2. Prepare a statement of stockholders' equity for the month ended August 31, 20Y1.
3. Prepare a balance sheet as of August 31, 20Y1.
4. *Optional.* Prepare a statement of cash flows for the month ending August 31, 20Y1.

PR 1-4B

Transactions; Financial Statements

Obj. 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation., 5 - Describe the financial statements of a corporation and explain how they interrelate.

On April 1, 20Y8, Maria Adams established Custom Realty. Maria completed the following transactions during the month of April:

- a. Opened a business bank account with a deposit of \$24,000 in exchange for common stock.
- b. Paid rent on office and equipment for the month, \$3,600.
- c. Paid automobile expenses for month, \$1,350, and miscellaneous expenses, \$600.
- d. Purchased supplies on account, \$1,200.
- e. Earned sales commissions, receiving cash, \$19,800.
- f. Paid creditor on account, \$750.
- g. Paid office salaries, \$2,500.
- h. Paid dividends, \$3,500.
- i. Determined that the cost of supplies on hand was \$300; therefore, the cost of supplies used was \$900.

Instructions

1. Indicate the effect of each transaction and the balances after each transaction, using the following tabular headings:
2. Prepare an income statement for April, a statement of stockholders' equity for April, and a balance sheet as of April 30.

Transactions; Financial Statements

Obj. 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation., 5 - Describe the financial statements of a corporation and explain how they interrelate.

Bev's Dry Cleaners is owned and operated by Beverly Zahn. A building and equipment are currently being rented, pending expansion to new facilities. The actual work of dry cleaning is done by another company at wholesale rates. The assets, liabilities, and common stock of the business on November 1, 20Y3, are as follows: Cash, \$39,000; Accounts Receivable, \$80,000; Supplies, \$11,000; Land, \$50,000; Accounts Payable, \$31,500; Common Stock, \$50,000. Business transactions during November are summarized as follows:

- a. Beverly Zahn invested additional cash in exchange for common stock with a deposit of \$21,000 in the business bank account.
- b. Purchased land adjacent to land currently owned by Bev's Dry Cleaners to use in the future as a parking lot, paying cash of \$35,000.
- c. Paid rent for the month, \$4,000.
- d. Charged customers for dry cleaning revenue on account, \$72,000.
- e. Paid creditors on account, \$20,000.
- f. Purchased supplies on account, \$8,000.
- g. Received cash from customers for dry cleaning revenue, \$38,000.
- h. Received cash from customers on account, \$77,000.
- i. Received monthly invoice for dry cleaning expense for November (to be paid on December 10), \$29,450.
- j. Paid the following: wages expense, \$24,000; truck expense, \$2,100; utilities expense, \$1,800; miscellaneous expense, \$1,300.
- k. Determined that the cost of supplies on hand was \$11,800; therefore, the cost of supplies used during the month was \$7,200.

I. Paid dividends, \$5,000.

Instructions

1. Determine the amount of retained earnings as of November 1.
2. State the assets, liabilities, and stockholders' equity as of November 1 in equation form similar to that shown in this chapter. In tabular form below the equation, indicate increases and decreases resulting from each transaction and the new balances after each transaction.
3. Prepare an income statement for November, a statement of stockholders' equity for November, and a balance sheet as of November 30.
4. *Optional.* Prepare a statement of cash flows for November.

PR 1-6B

Missing Amounts from Financial Statements

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

The financial statements at the end of Atlas Realty's first month of operations follow:

Instructions

By analyzing the interrelationships among the four financial statements, determine the proper amounts for (a) through (r).

Chapter 1: Introduction to Accounting and Business: 1-6j Problems: Series B

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